

Trust Fund Accounts for Income Property

Brokers who perform property management functions often handle rents and security deposits. Licensees must deposit funds received on behalf of residential landlord clients into escrow accounts, also known as trust fund accounts or trust accounts.

One possible practice is for the broker to establish a separate escrow account for each property-even if one owner owns several properties. This prevents commingling and accidentally using the funds from one property to pay for expenses of another. However, most states don't require this and only require one trust account for rent and security deposits.

No money may be disbursed from these accounts, except by agreement with the owner and only then if there is sufficient money in the account.

The following funds, when paid to a real estate licensee acting on behalf of a residential landlord client, must be deposited into an escrow account, unless the parties to the transaction otherwise agree in writing:

- Any prepaid rent paid more than one month before the rent due date. (**Note:** Rent paid less than one month before the rent due date is considered current rent, and can be deposited into the operating account.)
- Security deposits paid in connection with a lease.

Trust funds must remain in the account until they are disbursed under the terms of the lease, property management agreement, or legal provisions, as applicable.

In commercial settings, there are fewer legal requirements for how the property owner must handle funds, such as security deposits, from tenants. When handling funds from commercial tenants, the terms of the lease dictate the amount and disposition of security deposits.

To be clear, all funds entrusted to a licensee in the practice of real estate are by definition trust funds. Assuming the lease does not dictate otherwise, all money received from commercial tenants should be deposited appropriately into a trust fund account.